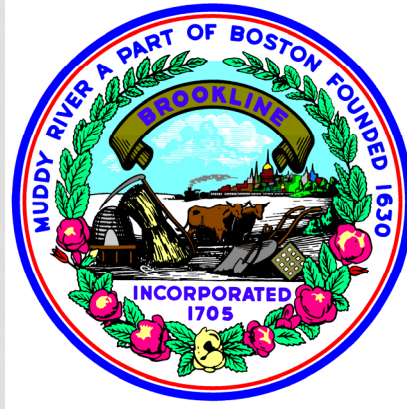


TOWN OF BROOKLINE



FY2026 – FY2030 LONG RANGE FINANCIAL PLAN

December 10, 2024

SUMMARY

- Employee Benefits and Collective Bargaining continue to put pressure on Town and School budgets
- One-time ARPA use coming to an end. Pressure to continue some items after grant period is over.
- Town budget \$1.3M deficit and the Schools have a FY2026 deficit of approx. \$6M (structural deficit).
 - ❑ School Cost pressures: Special Education, Collective Bargaining
 - ❑ Town Cost pressures: Collective Bargaining, Inflation, Trash Removal

PRIMARY ASSUMPTIONS

Revenue

- Within the Property Tax projections, \$2.5M assumed for new growth, \$2.1M in out-years
 - FY25 new growth driven by residential growth, especially Hancock Village
- State aid assumes level funding
 - Consensus revenue hearing on 12/2 – YTD collections are \$372M below benchmark
- Local Receipts show 4.1% growth in FY26, modest growth in out-years

Expenditures

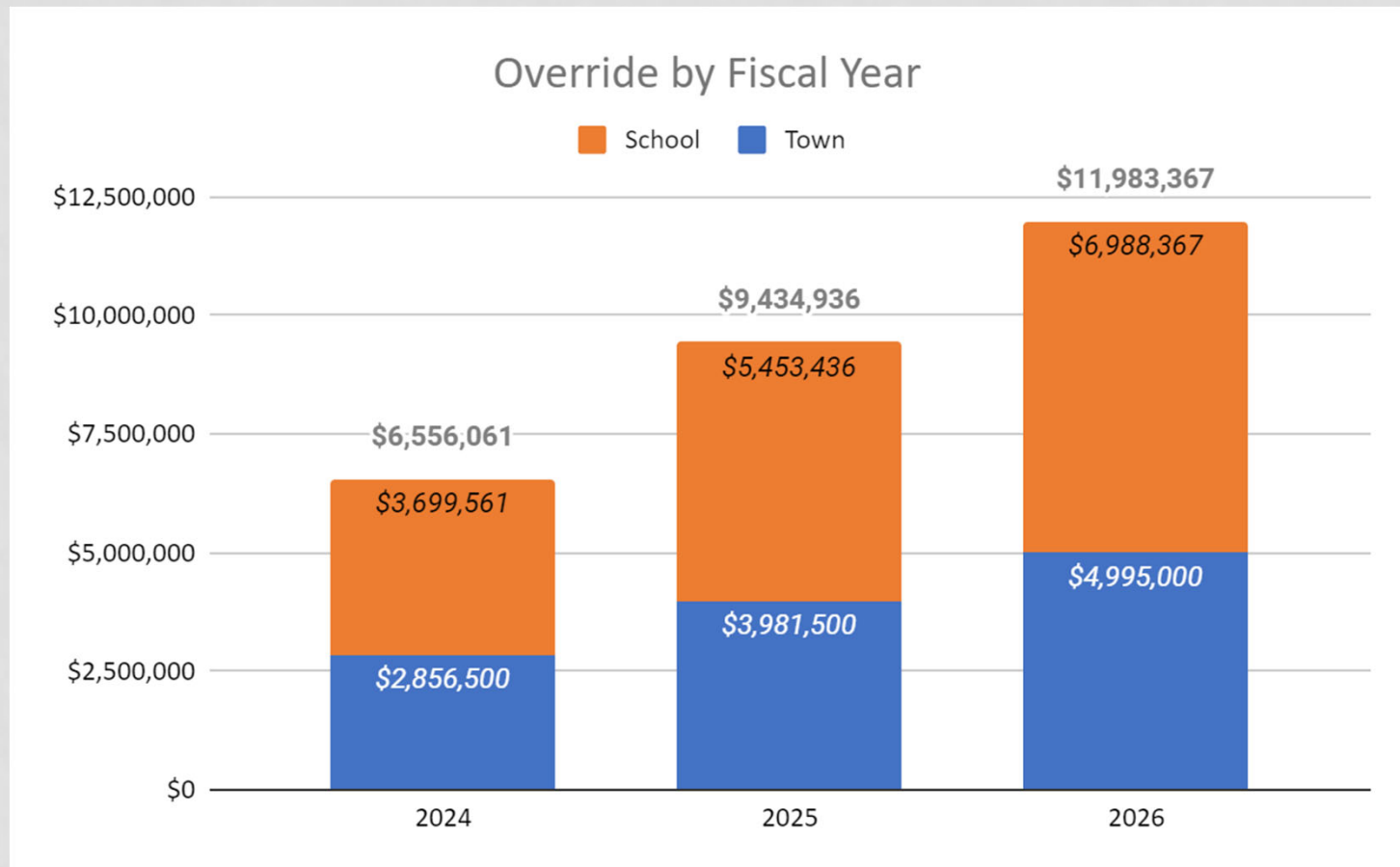
- Town and School budgets assume override growth
 - Salary savings continued to fund Police contract
- Health Insurance rate increases of 12% in FY26, FY27 -29 assume 10% + continued subscriber growth 20/15 S/T.
- Pension- follows funding schedule based on valuation as of 1/1/24, rate is 7.5%
- 2% Collective Bargaining increases in FY26, 1.5% in FY27
- Continued funding of OPEB's per the Town's funding schedule.
- All formal Financial Policies (CIP, Free Cash, Reserves) are continued.

RECENT HISTORY

- In FY12 - FY14, Forecast dynamic of balanced Town budget vs \$1.5M - \$2M+ deficit for Schools.
 - Budgets ultimately balanced by a combination of increases in local revenues, realizing additional State Aid, lower growth in Health Insurance rates, and reductions in the School budget.
- In FY15 “Bridge year” GIC rate savings allowed the town to delay implementation of a Parking Meter rate increase
- FY16-FY18 Three-year funding plan provided \$7.665M of addl. tax capacity (override funds) plus \$2.3M in non-tax revenue primarily from the Parking Meter Rate Increase and Town expenditure reductions
- FY19 - 21 New three-year funding plan disrupted by COVID-19 pandemic in the third year. Reductions to Town and School budgets
- FY22 - Recovery budget with some restorations and growth in revenue
- FY23 – ARPA funds used for School expenses, departmental budgets still constrained under escalating inflationary pressures
- FY24-FY25 – First two years of 3 year override plan

FY2024-2026 OVERRIDE

- The override ballot question 2A added \$11.98M to the levy limit between FY24 and FY26
- FY26 increase of \$2.5M (\$1.5M School, \$600K CIP, \$413K Town)



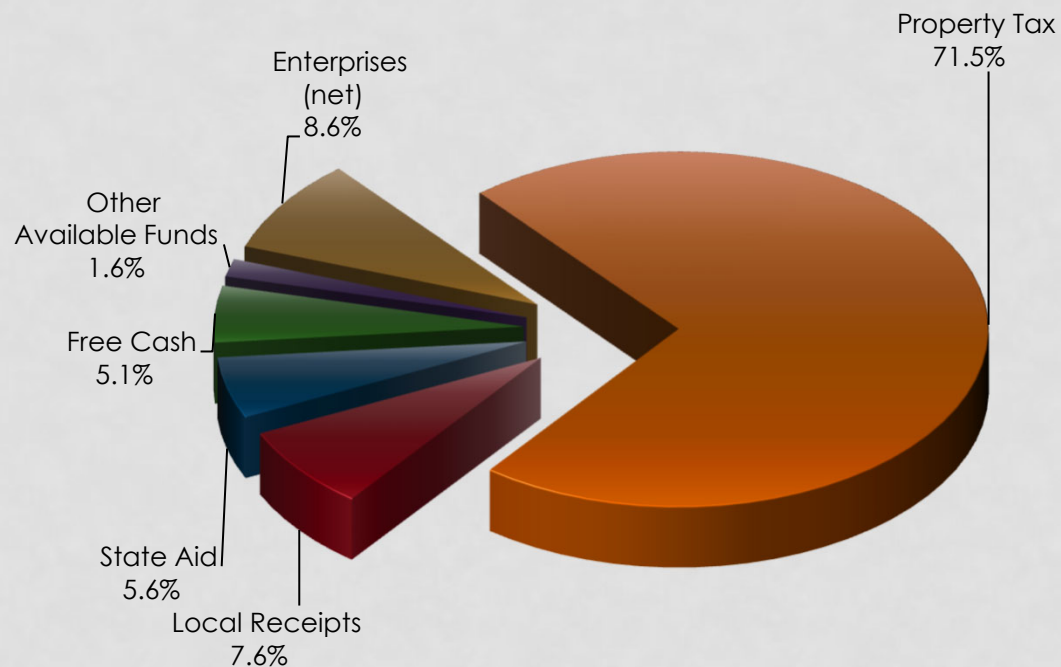
	<u>2025</u>	<u>2026</u>	<u>2027</u>	<u>2028</u>	<u>2029</u>	<u>2030</u>
<u>REVENUE</u>						
Property Taxes	312,575,807	332,119,800	348,570,398	359,124,846	370,001,429	380,409,368
Local Receipts	33,050,910	34,395,693	34,718,684	35,263,658	35,630,642	36,004,779
State Aid	24,806,774	24,806,774	25,417,237	26,042,961	26,684,328	27,341,730
Other Available Funds	7,029,580	4,243,443	4,467,916	4,684,540	4,916,481	5,162,351
Free Cash	22,422,386	20,800,000	8,000,000	7,500,000	7,500,000	5,926,815
TOTAL REVENUE	399,885,456	416,365,710	421,174,235	432,616,004	444,732,881	454,845,043
\$\$ Increase	23,496,291	16,480,254	4,808,525	11,441,769	12,116,877	10,112,162
% Increase	6.2%	4.1%	1.2%	2.7%	2.8%	2.3%
<u>EXPENDITURES</u>						
Departmental	95,108,187	98,121,124	100,729,556	103,389,767	106,092,484	108,838,018
Schools	136,847,619	145,692,000	152,125,373	158,870,258	165,756,522	172,642,786
Non-Departmental - Benefits	88,508,319	92,123,822	100,307,692	108,774,874	118,272,910	119,384,293
Non-Departmental - General	6,451,003	3,851,457	2,918,209	2,961,986	3,048,897	3,135,979
Non-Departmental - Debt Service	36,917,484	44,050,783	50,025,678	52,354,885	53,928,574	53,884,094
Non-Departmental - Reserve Fund	3,245,681	3,415,094	3,554,438	3,659,996	3,770,424	3,881,795
Special Appropriations (CIP)	22,440,786	25,901,039	15,824,253	14,340,339	14,177,954	13,118,743
Non-Appropriated	10,366,377	10,613,732	10,867,272	11,127,150	11,393,525	11,666,559
TOTAL EXPENDITURES	399,885,457	423,769,053	436,352,472	455,479,254	476,441,289	486,552,266
\$\$ Increase	26,759,944	23,883,596	12,583,419	19,126,782	20,962,034	10,110,977
% Increase	7.7%	6.0%	3.0%	4.4%	4.6%	2.1%
CUMULATIVE SURPLUS/(DEFICIT)		(7,403,343)	(15,178,238)	(22,863,250)	(31,708,408)	(31,707,223)
DEFICIT AS A % OF OP REV		-1.9%	-3.7%	-5.4%	-7.3%	-7.1%
Total Town Surplus / (Deficit)	0	(1,338,805)	(4,670,674)	(7,611,511)	(11,010,012)	(10,945,165)
Total School Surplus / (Deficit)	0	(6,064,538)	(10,507,564)	(15,251,740)	(20,698,396)	(20,762,058)

*NOTE: Free cash not certified for FY26 use.

GENERAL FUND REVENUE COMPOSITION

- In FY25, Property Taxes comprise almost $\frac{3}{4}$'s of the Town's General Fund revenue and over 80% of Operating Revenue

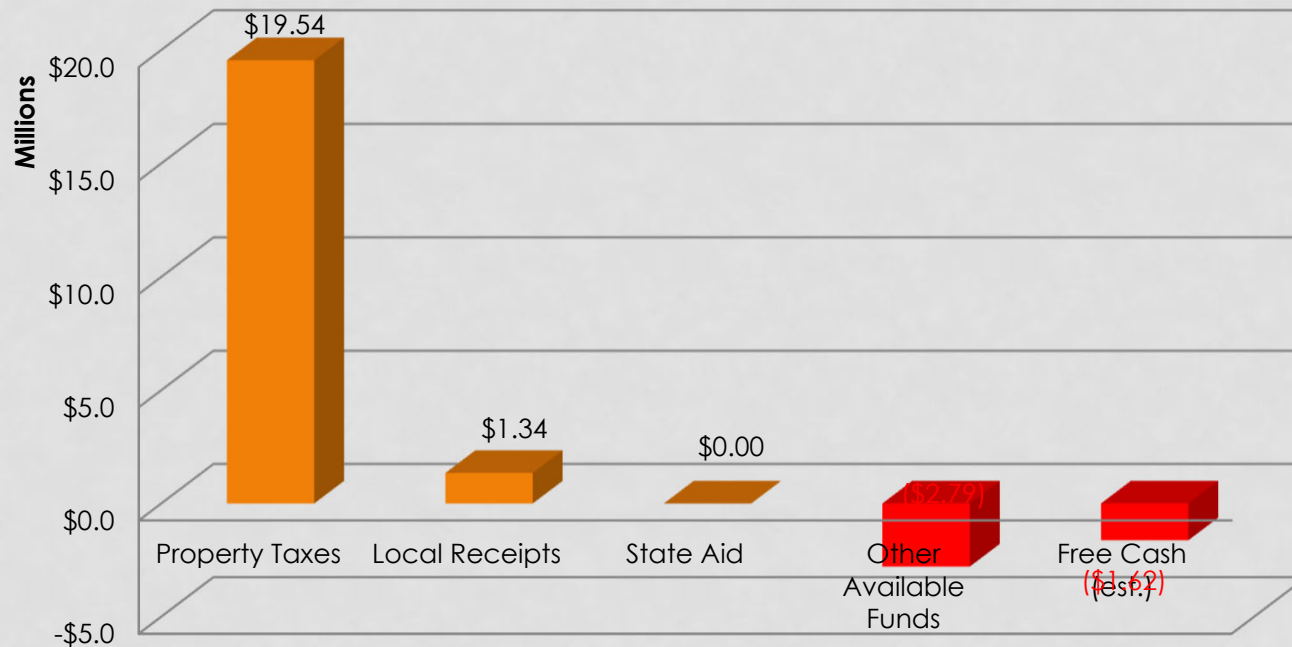
FY25 REVENUES



GENERAL FUND REVENUE SUMMARY

- Total FY26 increase in revenue of \$16.4M (4.1%)

FY26 GENERAL FUND REVENUE CHANGES



In the out-years, annual operating revenue increases of 2%

PROPERTY TAXES

- In FY26, increase \$19.5 million (6.3%)

PROPERTY TAXES	2025	2026	2027	2028	2029	2030
Prior Year Levy Limit	282,862,062	293,111,746	302,939,540	312,613,029	322,528,354	332,691,563
2 1/2 % Increase	7,071,552	7,327,794	7,573,489	7,815,326	8,063,209	8,317,289
New Growth	3,178,133	2,500,000	2,100,000	2,100,000	2,100,000	2,100,000
General Override						
<i>SUB-TOTAL ANNUAL LEVY LIMIT</i>	<i>293,111,746</i>	<i>302,939,540</i>	<i>312,613,029</i>	<i>322,528,354</i>	<i>332,691,563</i>	<i>343,108,852</i>
Excess Capacity	(2,548,431)					
ANNUAL LEVY LIMIT	290,563,315	302,939,540	312,613,029	322,528,354	332,691,563	343,108,852
Debt Exclusion (Debt Service Costs)	22,012,492	29,180,259	35,957,369	36,596,491	37,309,866	37,300,516
ANNUAL LEVY	312,575,807	332,119,800	348,570,398	359,124,846	370,001,429	380,409,368
\$\$ Increase	14,602,246	19,543,993	16,450,598	10,554,448	10,876,583	10,407,939
% Increase	4.9%	6.3%	5.0%	3.0%	3.0%	2.8%

DEBT EXCLUSION

DEBT EXCLUSION	2025	2026	2027	2028	2029	2030
Debt Exclusion (Debt Service Costs)						
<u>Actual-</u>						
Florida Ruffin Ridley School (2015) 1st borrowing	2,176,193	2,172,693	2,171,693	2,172,943	2,176,193	2,176,193
Florida Ruffin Ridley School (2015) 2nd borrowing	617,163	617,413	616,913	615,663	618,663	615,663
High School (2018) 1st borrowing	944,838	947,338	948,588	948,588	947,338	944,838
High School (2018) 2nd borrowing	1,015,994	1,016,744	1,016,244	1,014,494	1,016,494	1,016,994
High School (2018) 3rd borrowing	7,266,263	7,265,013	7,265,013	7,265,763	7,261,763	7,262,763
Driscoll School (2019) 1st borrowing	1,351,944	1,354,194	1,354,694	1,353,444	1,355,444	1,350,444
High School (2018) 4th borrowing	1,563,475	1,563,475	1,562,075	1,564,275	1,564,875	1,563,875
Driscoll School (2019) 2nd borrowing	4,562,344	4,560,144	4,558,944	4,563,544	4,563,544	4,563,944
Newbury College (2020)	757,775	757,275	760,775	758,025	759,275	759,275
Driscoll School (2021) Geothermal	305,875	307,875	309,375	305,375	306,125	306,375
Fire Station renovations (2023) 1st borrowing	303,250	301,120	303,770	303,020	302,020	300,770
Pierce School Construction (2024) 1st borrowing	1,147,380	1,150,780	1,147,130	1,150,630	1,147,880	1,149,130
 <u>Projected-</u>						
Fire Station Renovations (2nd borrowing \$24M)		1,702,859	1,702,859	1,702,859	1,702,859	1,702,859
Fire Station Renovations (3rd borrowing \$18.5M)			1,312,620	1,312,620	1,312,620	1,312,620
Fire Station Renovations (4th borrowing \$9M)				638,572	638,572	638,572
Fire Station Renovations (5th borrowing \$10M)					709,525	709,525
*Pierce School (2nd borrowing \$77M)		5,463,339	5,463,339	5,463,339	5,463,339	5,463,339
*Pierce School (3rd borrowing \$77M)			5,463,339	5,463,339	5,463,339	5,463,339
	22,012,492	29,180,259	35,957,369	36,596,491	37,309,866	37,300,516
ANNUAL LEVY	312,575,807	332,119,800	348,570,398	359,124,846	370,001,429	380,409,368
Debt exclusion as % Of Levy	7.0%	8.8%	10.3%	10.2%	10.1%	9.8%

* Assumes MSBA estimate of \$30M

STATE AID

- In FY26, assuming level-funding for UGGA and Chapter 70

	<u>2025</u>	<u>2026</u>	<u>2027</u>	<u>2028</u>	<u>2029</u>	<u>2030</u>
<i>General Government Aid</i>	7,736,287	7,736,287	7,927,931	8,124,366	8,325,712	8,532,092
Unrestricted General Gov't Aid	7,665,763	7,665,763	7,857,407	8,053,842	8,255,188	8,461,568
Veterans' Benefits	70,524	70,524	70,524	70,524	70,524	70,524
<i>School Aid</i>	16,912,379	16,912,379	17,331,198	17,760,487	18,200,508	18,651,530
Chapter 70	16,752,743	16,752,743	17,171,562	17,600,851	18,040,872	18,491,894
Charter Tuition Assesment Reimb.	159,636	159,636	159,636	159,636	159,636	159,636
<i>Tax Abatement Aid</i>	17,631	17,631	17,631	17,631	17,631	17,631
<i>Offset Aid (Libraries)</i>	140,477	140,477	140,477	140,477	140,477	140,477
TOTAL STATE AID	24,806,774	24,806,774	25,417,237	26,042,961	26,684,328	27,341,730
\$\$ Increase	836,300	0	610,463	625,724	641,367	657,402
% Increase	3.5%	0.0%	2.5%	2.5%	2.5%	2.5%

LOCAL RECEIPTS

- In FY26, an increase of \$1.3M (4.1%)
 - Primary driver is hotel/motel excise

LOCAL RECEIPTS	2025	2026	2027	2028	2029	2030
Motor Vehicle Excise (MVE)	6,300,000	6,500,000	6,599,289	6,731,275	6,865,900	7,003,218
Local Option Taxes	4,780,000	5,360,000	5,461,200	5,744,424	5,849,712	5,957,107
Licenses & Permits	1,114,250	1,114,250	1,114,250	1,114,250	1,114,250	1,114,250
Parking / Court Fines	2,400,000	2,600,000	2,600,000	2,600,000	2,600,000	2,600,000
General Government	4,129,243	4,438,236	4,482,245	4,526,815	4,571,954	4,617,670
Interest Income	920,428	1,050,000	1,076,250	1,103,156	1,130,735	1,159,004
PILOT's / 121A's	1,930,904	1,969,522	2,008,913	2,049,091	2,090,073	2,131,874
Refuse Fee	4,203,009	4,203,009	4,203,009	4,203,009	4,203,009	4,203,009
Departmental & Other	7,273,076	7,160,676	7,173,528	7,191,637	7,205,008	7,218,647
TOTAL LOCAL REVENUE	33,050,910	34,395,693	34,718,684	35,263,658	35,630,642	36,004,779
\$\$ Increase	3,022,154	1,344,783	322,991	544,973	366,985	374,137
% Increase	10.1%	4.1%	0.9%	1.6%	1.0%	1.1%

In the out-years, avg annual increase of approx. 1.1%

LOCAL RECEIPTS HISTORY

<u>REVENUE SOURCE</u>	<u>FY21 ACTUAL</u>	<u>FY22 ACTUAL</u>	<u>FY23 ACTUAL</u>	<u>FY24 ACTUAL</u>	<u>Variance</u>	<u>%</u>	<u>FY25 BUDGET</u>	<u>FY26 BUDGET</u>
Motor Vehicle Excise	6,040,964	6,275,101	6,528,265	7,252,342	724,077	11.1%	6,300,000	6,500,000
Local Option Taxes	2,539,514	4,432,490	5,320,743	6,049,824	729,081	13.7%	4,780,000	5,360,000
Licenses and Permits	966,958	1,110,456	1,177,052	1,544,757	367,705	31.2%	1,114,250	1,114,250
Parking and Court Fines	1,991,875	2,176,188	2,337,667	2,771,637	433,970	18.6%	2,400,000	2,600,000
General Government	7,496,635	9,889,972	8,726,544	6,622,675	(2,103,869)	-24.1%	4,129,243	4,438,236
Interest Income	674,690	244,138	5,779,057	6,903,864	1,124,807	19.5%	920,428	1,050,000
In Lieu of Tax Payments	2,023,502	1,971,639	2,017,573	1,988,057	(29,516)	-1.5%	1,930,904	1,969,522
Refuse Fees	3,392,884	3,767,067	3,750,519	4,223,286	472,767	12.6%	4,203,009	4,203,009
Departmental and Other	5,352,913	6,666,125	6,536,532	7,227,067	690,535	10.6%	7,273,076	7,160,676
Total	30,479,935	36,533,176	42,173,952	44,583,509	2,409,557	5.7%	33,050,910	34,395,693

OTHER AVAILABLE FUNDS

- A decrease of \$2.8M(39.6%)
 - Last year used, one time Overlay Surplus
 - Shows loss of HCA funds, but new Opioid funding

	<u>2025</u>	<u>2026</u>	<u>2027</u>	<u>2028</u>	<u>2029</u>	<u>2030</u>
Opioid / HCA Stabilization Funds	574,768	327,947	350,000	350,000	350,000	350,000
Walnut Hill Cemetery Fund	100,000	100,000	100,000	100,000	100,000	100,000
Golf Enterprise Fund Reimbursement	234,342	264,159	277,841	292,478	308,138	324,894
Recreation Revolving Fund Reimbursement	507,991	558,790	614,669	676,136	743,750	818,125
Water and Sewer Enterprise Fund Reimbursement	2,612,478	2,992,547	3,125,405	3,265,926	3,414,594	3,569,333
Tax Abatement Reserve Surplus	3,000,000	-	-	-	-	-
TOTAL OTHER AVAILABLE FUNDS	7,029,580	4,243,443	4,467,916	4,684,540	4,916,481	5,162,351
\$\$ Increase	2,621,910	(2,786,136)	224,473	216,624	231,941	245,870
% Increase	59.5%	-39.6%	5.3%	4.8%	5.0%	5.0%

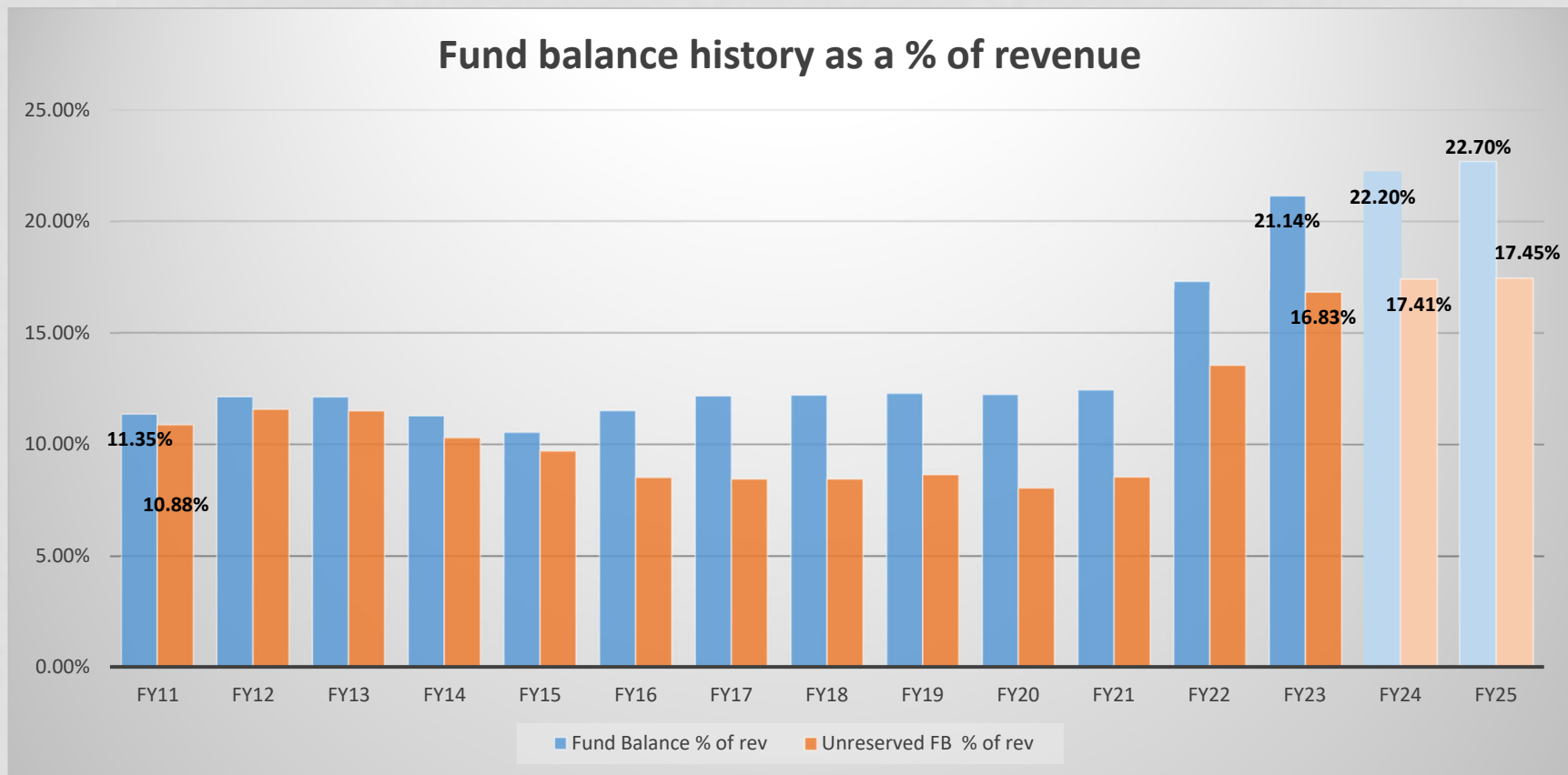
FREE CASH

- Needs to be Certified
- Free Cash is used in accordance with the Town's Free Cash Policies:
 1. Budget Reserve – ¼ of the annual "Reserve Fund"
 2. Unreserved Fund Balance / Stabilization Fund – maintain at a minimum of 20% of revenue
 3. Liability / Catastrophe Fund – maintain at 1% of net revenue
 4. CIP – bring CIP funding up to 8.1% from the 6.6% CIP Policy
 5. Affordable Housing Trust Fund – deposit if the fund balance is less than \$5M
 6. Special Use – augment trust funds for fringe benefits, unfunded liabilities related to employee benefits, and other one-time uses, including additional funding for the CIP

Free Cash Estimate	\$23,500,000
1. Operating Budget Reserve	\$853,774
2. Unreserved Fund Balance/Stabilization Fund	\$6,200,000
3. Liability Reserve (to get fund to 1% of Prior Yr Net Revenue)	\$0
4. Capital Improvements (to get to 8.1% of Prior Yr Net Revenue)	\$5,122,642
5. Affordable Housing Trust Fund (since Fund Balance below \$5M)	\$1,698,538
Sub-Total	\$13,874,953
Amt available for Special Use (#6)	\$9,625,047
6. Special Use:	
Additional CIP	\$9,625,047

FUND BALANCE

- Ratings agencies look for a Aaa-rated community to have a ratio of Fund Balance as a percentage of revenue of approx. 20%
- Revised policy based on changes to Moody's metrics

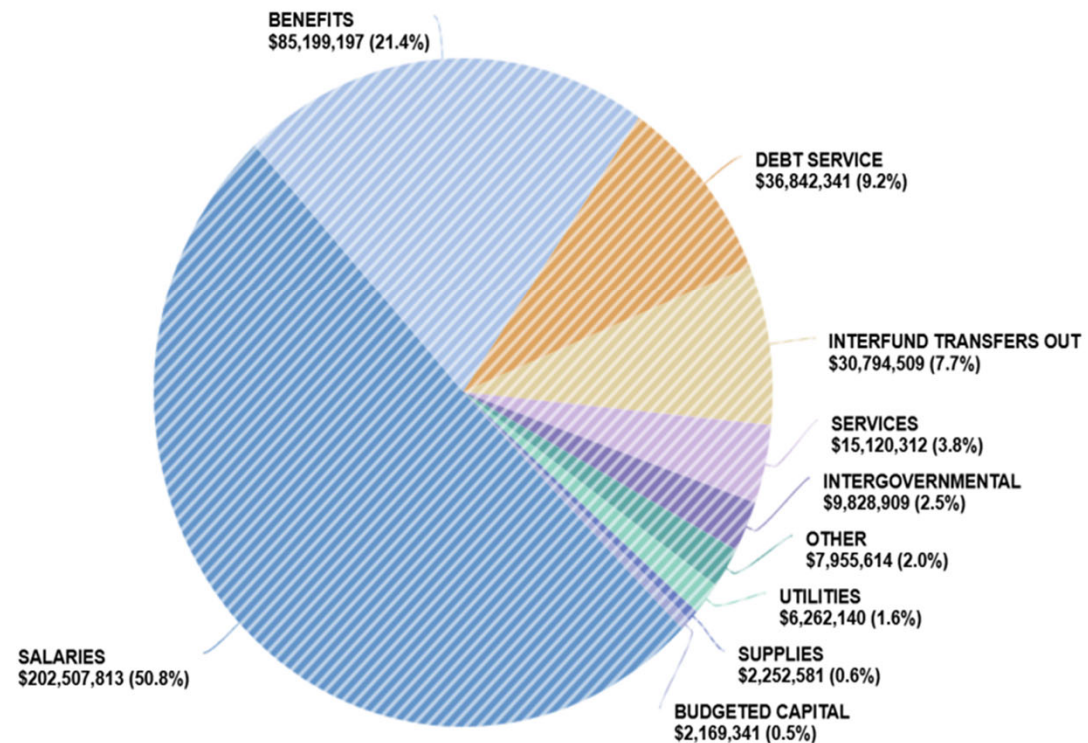


GENERAL FUND BUDGET

- In FY25, total General Fund budget of \$399M
- Personnel costs (wages + benefits) comprise 72% of the Operating Budget

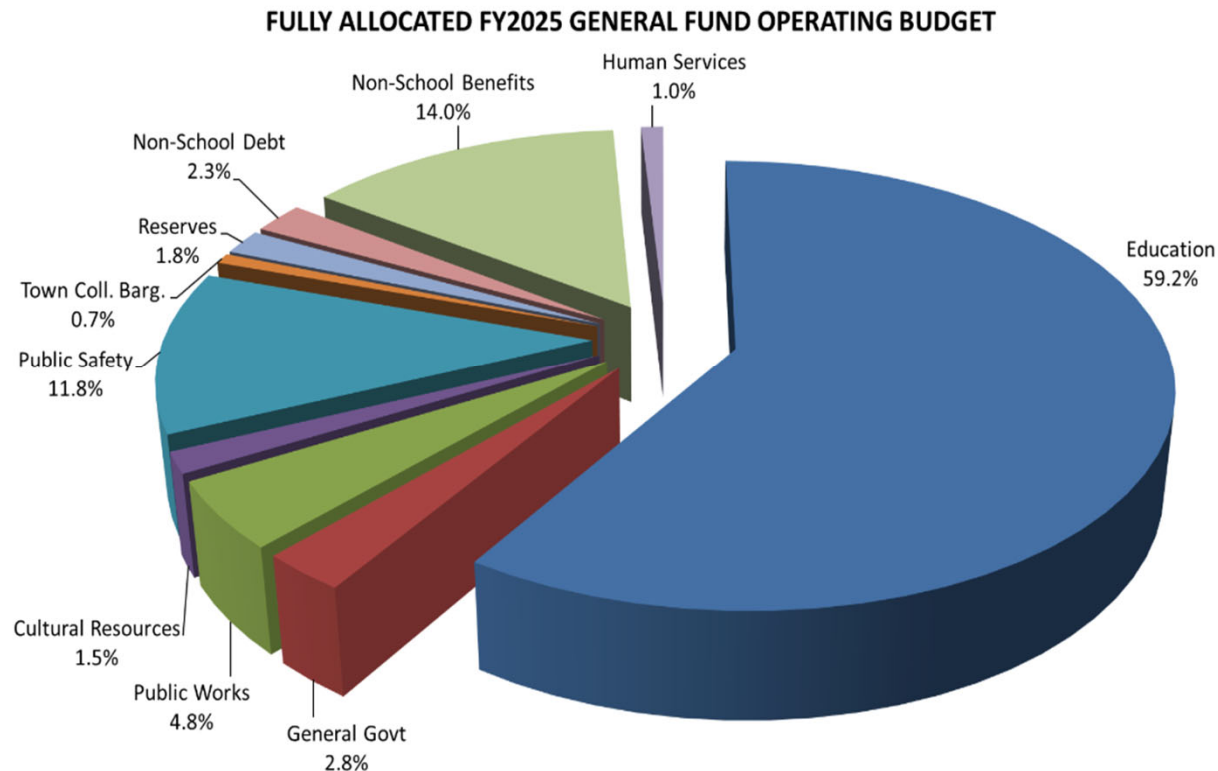
FY25 Section 2 Budget Summary Details

Visualization



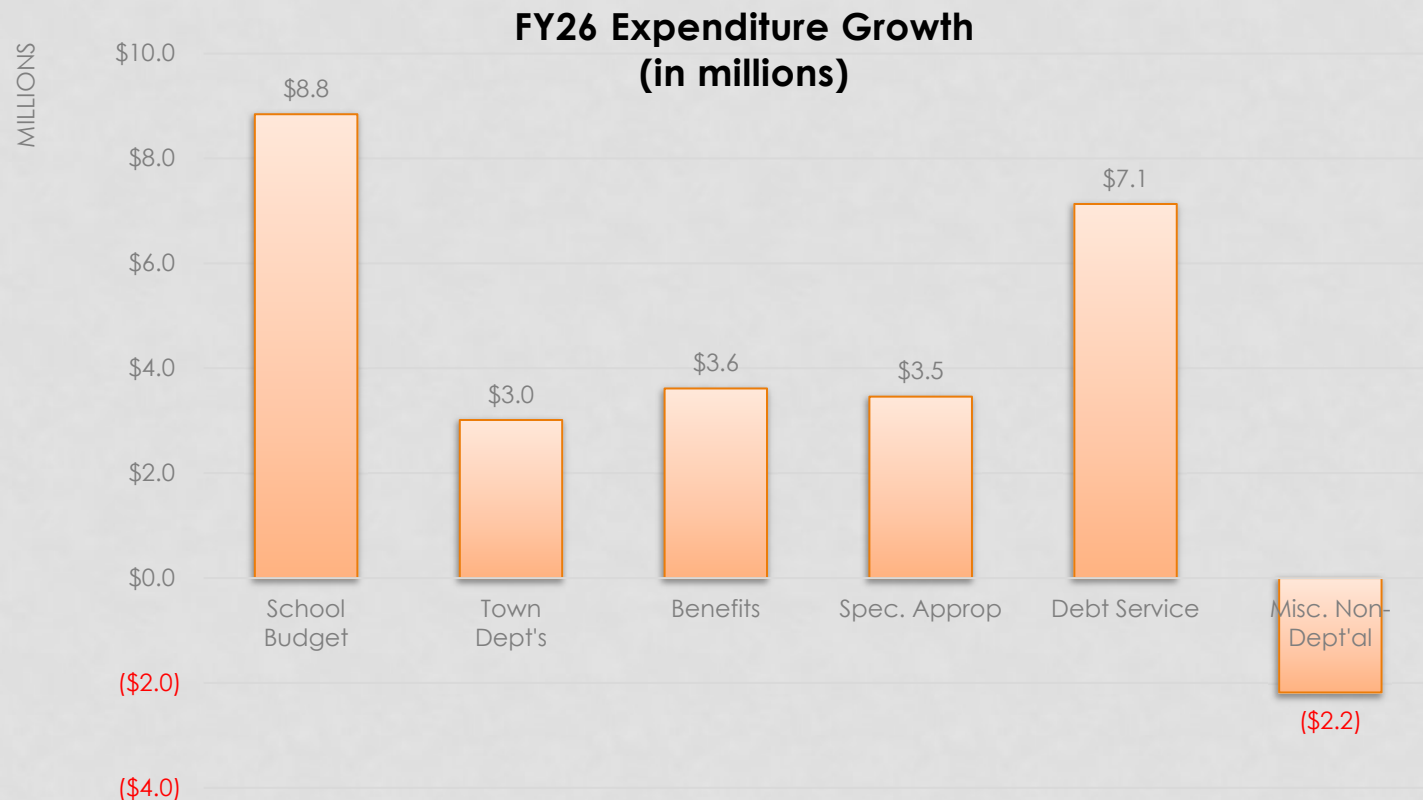
FULLY-ALLOCATED EXPENDITURES

- In FY25, expenses associated with Education comprise 59.2% of the Operating budget
- The next largest areas are Public Safety and non-School Benefits



EXPENDITURE SUMMARY

- For FY26, est. total increase in expenditures of \$23.8M (6%)



In the out-years, annual increase average 3.5%

TOWN / SCHOOL SPLIT

	<u>FY25</u>	<u>FY26</u>	<u>Variance</u>
REVENUE	\$399,885,457	\$416,365,710	\$16,480,253
NON-DEPARTMENTAL FIXED COSTS	\$167,929,651	\$179,955,929	\$12,026,278
AVAILABLE FOR TOWN/SCHOOL	\$231,955,806	\$236,409,782	\$4,453,975
APPLY PRIOR YEAR % TO AVAILABLE FUNDS	\$ 96,934,439	\$ 139,475,343	
ADJUST ALLOCATED COSTS FOR SERVICES* <i>(Utilities, R&M, Payroll, IT, Purchasing)</i>	\$ 59,151 \$ (59,151)	\$ (152,118) \$ 152,118	Town adjustments School adjustments
TOWN	\$95,108,188	\$96,782,320	1,674,132 1.8%
SCHOOL	\$136,847,618	\$139,627,462	2,779,844 2.0%
TOWN	41.0%	40.9%	
SCHOOL	59.0%	59.1%	

* FY25 directs year 1 school override funds and group health savings to school budget. FY26 directs year 2 override funds to school budget.

BENEFITS

- Total estimated FY26 increase of \$3.5M (4%)
- Assuming 12% for Group Health plus 35 enrollees
- Continuation of OPEB funding plan

	<u>2025</u>	<u>2026</u>	<u>2027</u>	<u>2028</u>	<u>2029</u>	<u>2030</u>
Pensions	37,488,687	38,277,350	41,424,489	44,597,215	48,354,017	44,630,321
Group Health	38,033,210	42,438,956	46,688,896	51,429,875	56,599,889	60,844,881
Retiree Group Health Trust Fund (OPEB's)	5,431,980	5,181,980	5,431,980	5,681,980	5,931,980	6,181,980
Excess Leave Bank	1,000,000	0	0	0	0	0
Group Life	148,625	152,341	156,149	160,053	164,054	168,156
Disability Insurance	46,000	46,000	46,000	46,000	46,000	46,000
Workers' Compensation	2,200,000	2,255,000	2,311,375	2,369,159	2,428,388	2,489,098
Public Safety IOD Medical Expenses	950,000	350,000	350,000	350,000	350,000	350,000
Unemployment Compensation	0	0	250,000	250,000	250,000	250,000
Medical Disabilities	40,000	40,000	40,000	40,000	40,000	40,000
Medicare Coverage	3,169,818	3,382,196	3,608,803	3,850,593	4,108,582	4,383,857
TOTAL	88,508,319	92,123,822	100,307,692	108,774,874	118,272,910	119,384,293
\$\$ Change	4,678,078	3,615,503	8,183,870	8,467,182	9,498,037	1,111,382
% Change	6.2%	4.1%	8.9%	8.4%	8.7%	0.9%

BENEFITS – MAJOR ACCOUNTS

- **Health Insurance (\$42.4M)**

- Assuming an 12% rate increase
- Assuming 35 new subscribers (15 T / 20 S)
- Total increase of \$4.4 million
- Each 1% increase in rates equals ~\$357,000

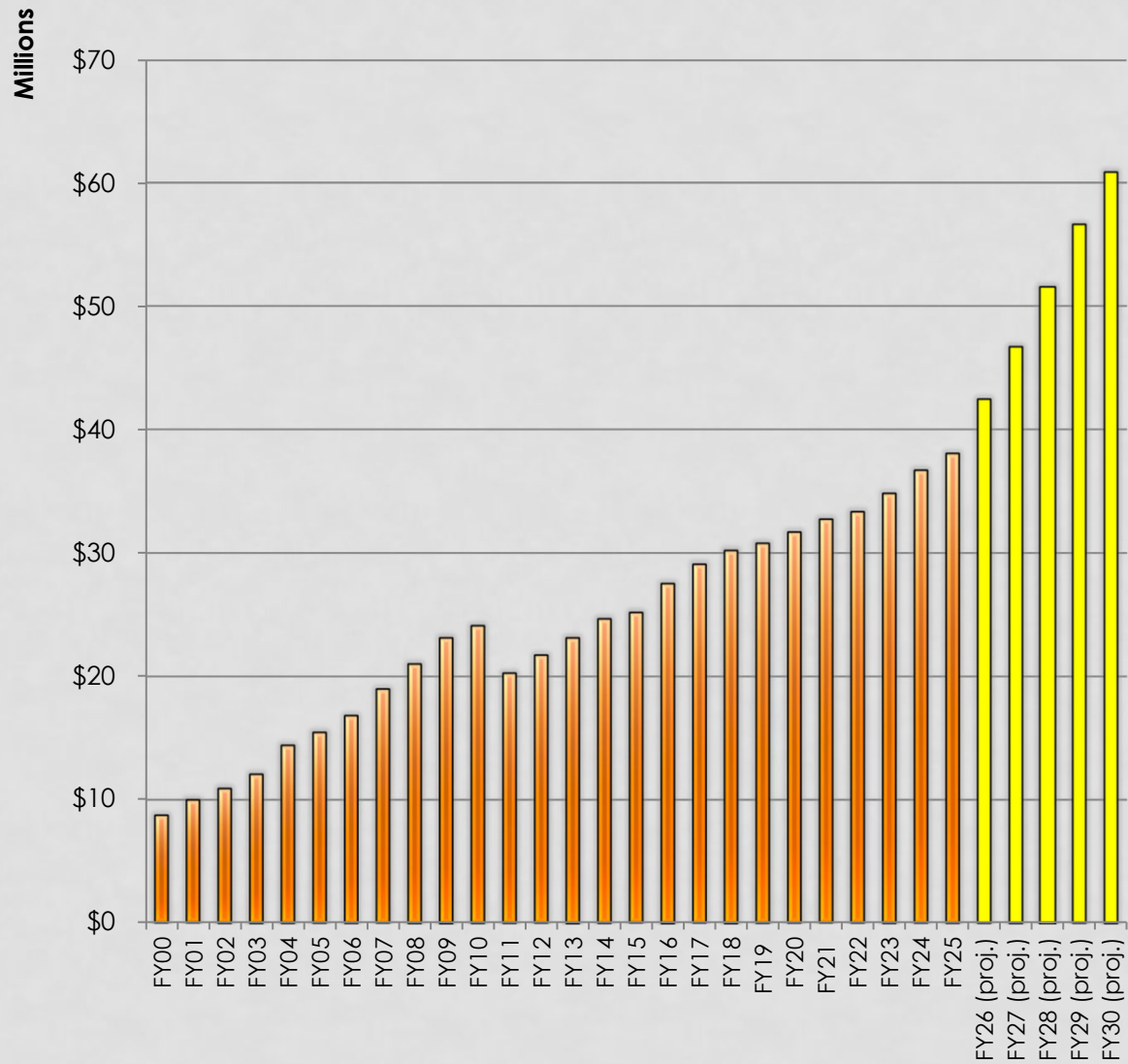
- **Pensions (\$38.3M)**

- For FY26, increase of \$789K based on funding schedule (excluding last year's \$2M of Free Cash the increase is \$2.8M)
- Annual appropriation increases 7.85% continues to put strain on future budgets as we get closer to 2030

- **OPEB's (\$5.2M)**

- During FY21-22 paused \$150K annual increase, resumed in FY23 and onward
- Increase operating budget funding from \$4.9M to \$5.2M
- Continue assessing special revenue funds

BENEFITS – GROUP HEALTH



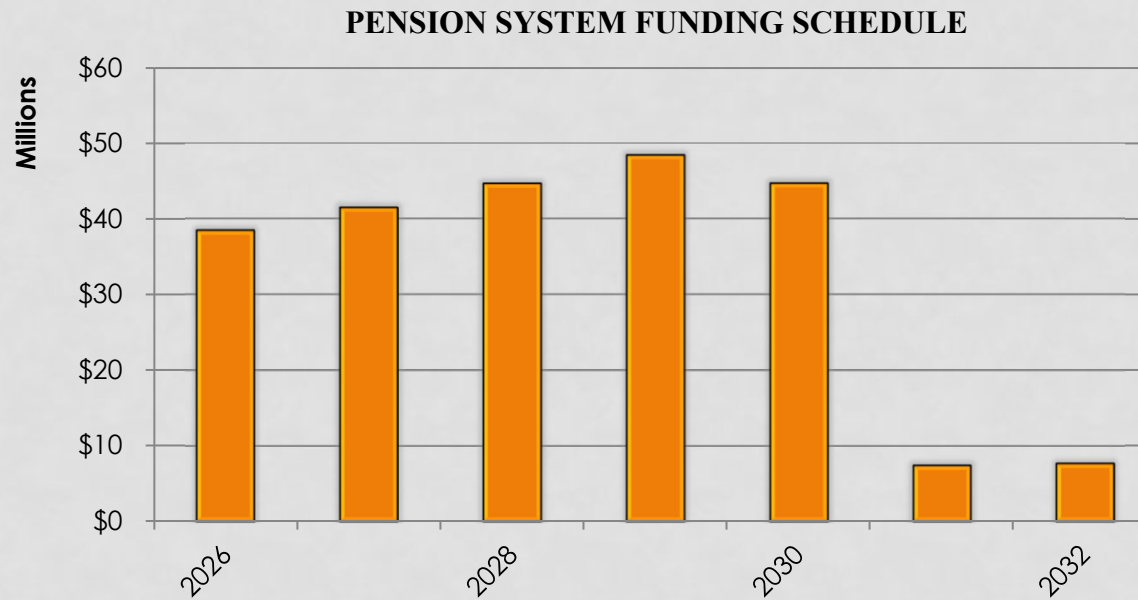
OPEBS

- Continue:
 - Increasing funding from operating revenue by \$250K / yr.
 - Last year Free Cash was used to boost contribution
 - Assessing special revenue funds with personnel
 - Using the “run-off” from funding for Non-Contributory retirees (included in Operating Revenue)

	<u>2025</u>	<u>2026</u>	<u>2027</u>	<u>2028</u>	<u>2029</u>	<u>2030</u>
Special Rev Funds	248,888	248,888	248,888	248,888	248,888	248,888
Operating Revenue	4,683,092	4,933,092	5,183,092	5,433,092	5,683,092	5,933,092
Free Cash	500,000					
TOTAL	5,431,980	5,181,980	5,431,980	5,681,980	5,931,980	6,181,980
\$\$ Change	750,000	(250,000)	250,000	250,000	250,000	250,000
Percentage Change	16.0%	-4.6%	4.8%	4.6%	4.4%	4.2%

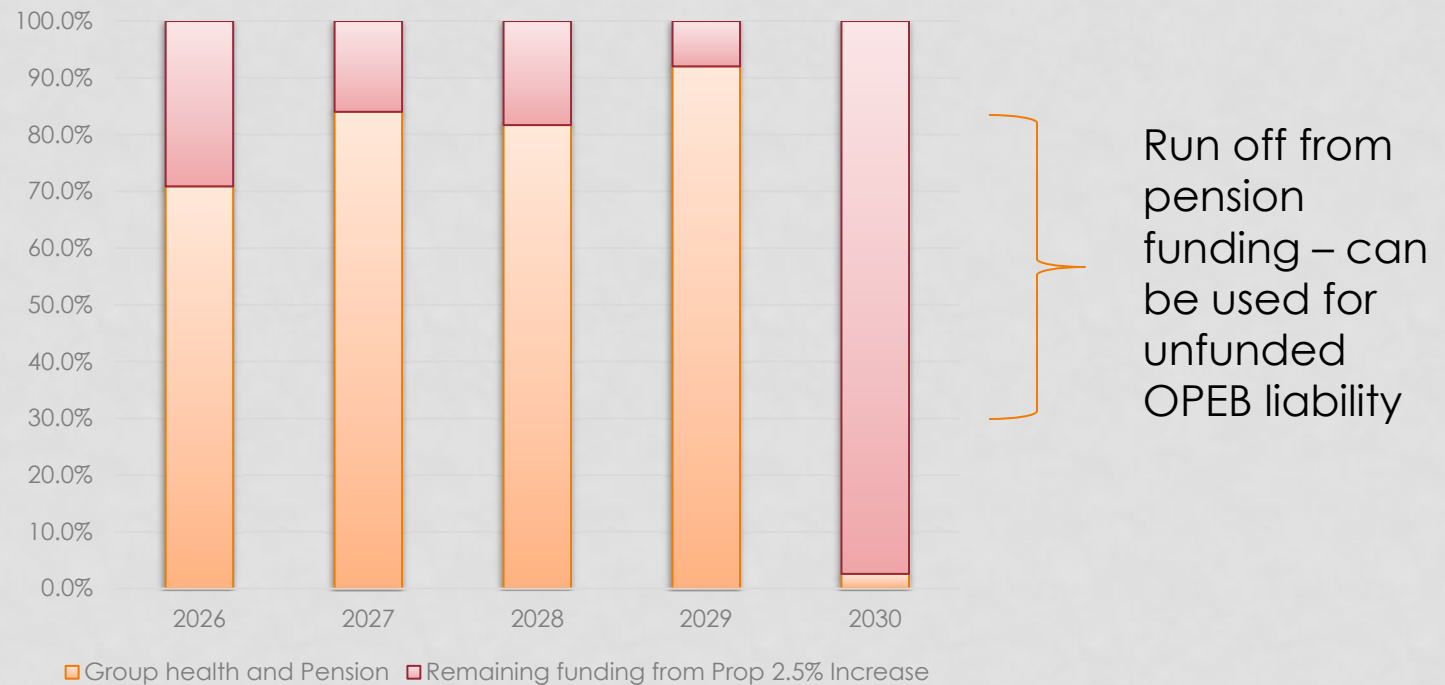
PENSION FUNDING

- Full funding date of 2030
- Rate of Return 6.8% (was 6.9%)
- FY26 increase of \$2.8M (7.8%)



ANNUAL INCREASE IN BENEFITS

- The annual increase in appropriations for Pensions and Health Insurance is absorbing much of the annual 2 ½% increase in Prop Taxes
- Doesn't account for other increases, such as OPEB's
- Figures assume 12% in FY26, and average 8.5% out- years Health Insurance cost



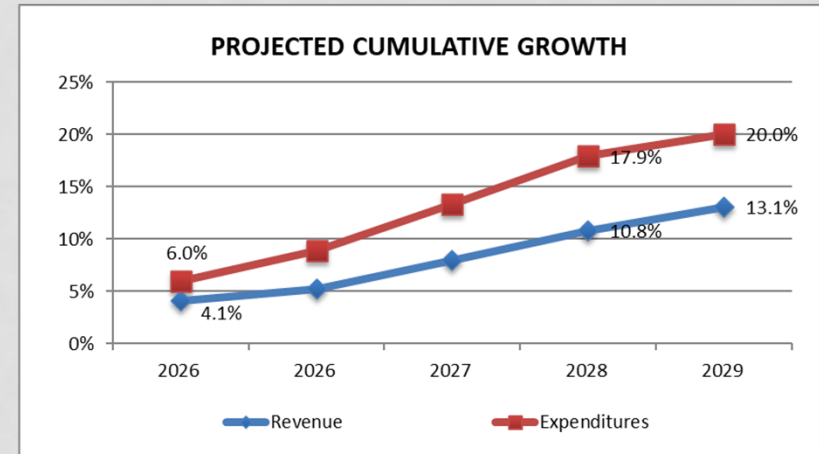
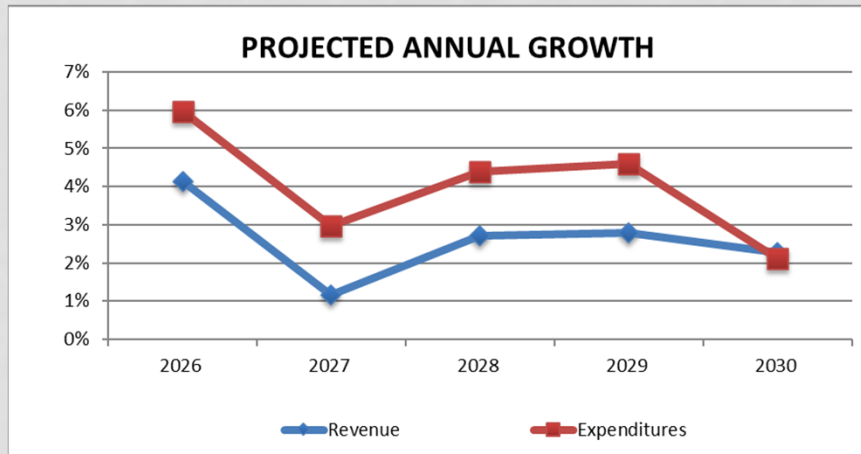
DEBT SERVICE / TAX-SUPPORTED CIP

- All years of Forecast follow CIP Policies
- In FY26, the “6.6% Policy” total increases \$1.6M
 - Additional \$600K coming from override funds
- In FY26, new debt service for Larz Anderson, Amory Park, Hammond/Woodland Traffic Signal, Pierce, Fire Renovations
 - Plan on Spring, 2025 bond sale
 - Alston Settlement funded within debt service budget (FY26 impact is \$1.3M).
- FY26 revenue financed projects include
 - Griggs Park
 - Fire Apparatus Rehab
 - Street Rehabilitation
 - New Lincoln School Grounds
- In the out-years, Debt Service supports:
 - Larz Anderson Park
 - Davis Path Footbridge
 - Washington Street Complete Streets

NON-APPROPRIATED

	2025	2026	2027	2028	2029	2030
STATE ASSESSMENTS						
County Assessments	1,162,771	1,191,841	1,221,637	1,252,177	1,283,482	1,315,569
Air Pollution Dist.	37,098	38,025	38,976	39,950	40,949	41,973
MAPC	37,166	38,095	39,048	40,024	41,024	42,050
MBTA	6,233,838	6,389,684	6,549,426	6,713,162	6,880,991	7,053,016
Boston Metro	1,569	1,569	1,569	1,569	1,569	1,569
SPED	17,833	18,279	18,736	19,204	19,684	20,176
RMV Surcharge	57,800	57,800	57,800	57,800	57,800	57,800
School Choice Sending Tuition	75,042	75,042	75,042	75,042	75,042	75,042
Charter School Sending Tuition	172,264	172,264	172,264	172,264	172,264	172,264
TOTAL STATE ASSESSMENTS	7,795,381	7,982,599	8,174,497	8,371,193	8,572,806	8,779,459
Cherry Sheet Offsets	140,477	140,477	140,477	140,477	140,477	140,477
Overlay	2,405,518	2,465,656	2,527,298	2,590,480	2,655,242	2,721,623
Tax Titles/Deficits/Judgments	25,000	25,000	25,000	25,000	25,000	25,000
TOTAL	10,366,377	10,613,732	10,867,272	11,127,150	11,393,525	11,666,559
\$\$ Change	(208,144)	247,356	253,540	259,878	266,375	273,034
Percentage Change	-2.0%	2.4%	2.4%	2.4%	2.4%	2.4%

FUTURE REVENUE & EXPENDITURE GROWTH



SANITATION

Implementation Assumptions

- Direct revenue to fund entire growth in operations (don't run through the T/S Split)
- Allow Town to recognize full fringe saving from reduced FTEs
- Equipment credit will be one-time relief to FY26 projection, full cost of conversion borne in FY27.
- Maintaining status quo will likely cause the Town to require emergency services contract from vendor in case we can't perform with existing resources

SANITATION

Projected Costs (status quo - no change in operations)

Contractual Disposal	\$126,867
Cart Maintenance, Mattress, Bulky, Yard, Etc	\$467,240
<u>Total*</u>	<u>\$594,107</u>

**An operating budget expansion request for \$300,000 of leased capital equipment would be requested if private collection does not go forward. This would bring the total projected status quo costs to \$894,107.*

Private Collection Services

Solid Waste Collection Contract (NEW)	\$1,516,000
Proposed Trash Fee Increase of 10%	(\$574,000)
Reduction of 9 FTEs from Operating Budget	(\$622,948)
Group Health Savings from Reduction of FTEs (est.)	(\$180,000)
Capital Credit on Equipment Leases (one-time)	(\$300,000)

<u>Total Addition to Budget/Deficit – Private Collection Services</u>	<u>\$433,159</u>
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FY26 DEFICIT CLOSURE PLAN

- Level fund OPEBs
- Refuse fee
- ARPA Equipment for FY26 needs
- Revisit Override Commitments
- Reductions in services
 - Position reductions
 - Currently analyzing vacancies
 - Potential hiring freeze